Hartwell University: 2027–2028 Financial Aid & Student Loan Package

SAMPLE DOCUMENT WITH FICTIONAL DATA, CREATED FOR SOFTWARE TESTING ONLY. All names, numbers, and lenders are invented.

Part 1: Award Letter

Office of Student Financial Services Hartwell University, 1200 Founders Way, Brookside, OH 44000 Email: finaid@hartwell.example.edu | Phone: (555) 010-4420

Date of Letter: March 14, 2027 **Award Year:** 2027–2028 (Fall 2027 and Spring 2028) **Student:** Jordan A. Ellison **Student ID:** 0048271936 **SSN (last 4):** XXX-XX-4821 **Class Level:** Junior (Dependent Undergraduate) **Program:** B.S. Environmental Engineering **Expected Graduation:** May 2029 **Enrollment Status:** Full-time (12+ credits per term)

Dear Jordan,

Congratulations on your continued enrollment at Hartwell University. Based on your 2027–2028 FAFSA and institutional application, we are pleased to offer the financial aid package below. **Please accept, decline, or reduce each award by May 1, 2027.** Awards not accepted by this date may be cancelled.

Part 2: Estimated Cost of Attendance (COA)

Expense Category	Annual Amount
Tuition	$38,400
Mandatory Fees	$1,850
Housing and Food (on campus)	$14,200
Books and Supplies	$1,200
Transportation	$1,500
Personal and Miscellaneous	$2,350
Total Cost of Attendance	**$59,500**

Part 3: Aid Summary

Award	Type	Annual Amount	Status
Hartwell Merit Scholarship	Gift (scholarship)	$15,000	Automatically accepted
Hartwell Need Grant	Gift (grant)	$6,500	Automatically accepted
Federal Pell Grant	Gift (grant)	$3,200	Automatically accepted
Federal Work-Study	Employment (earned, not credited to bill)	$2,800	Optional
Federal Direct Subsidized Loan	Federal student loan	$5,500	Pending acceptance
Federal Direct Unsubsidized Loan	Federal student loan	$2,000	Pending acceptance
Federal Direct Parent PLUS Loan	Federal parent loan	$17,000	Application required (parent)
Summit Ridge Private Student Loan	Private loan (cosigner required)	$7,500	Application required
Total Aid Offered		**$59,500**	

Gift aid (does not need to be repaid): $24,700 **Work-study (earned through employment):** $2,800 **Total borrowing offered:** $32,000 (federal student loans $7,500; Parent PLUS $17,000; private loan $7,500) **Remaining unmet need after all awards:** $0

Part 4: Federal Direct Loan Details (Student)

These loans are made by the U.S. Department of Education. You must complete a Master Promissory Note (MPN) and Entrance Counseling if you have not done so previously.

Term	Direct Subsidized	Direct Unsubsidized
Annual Amount	$5,500	$2,000
Fixed Interest Rate (2027–28 sample rate)	6.39%	6.39%
Origination Fee	1.057% ($58.14)	1.057% ($21.14)
Net Amount After Fee	$5,441.86	$1,978.86
Interest While Enrolled	Paid by the government	Accrues to you
Interest During Grace Period	Paid by the government	Accrues to you
Grace Period	6 months after you graduate, leave school, or drop below half-time	Same

Daily interest on the Unsubsidized Loan: $2,000 × 6.39% ÷ 365 = approximately **$0.35 per day**. If you do not pay this interest while in school, it will be **capitalized** (added to your principal balance) when repayment begins, and you will then pay interest on the larger balance.

Prior federal borrowing: $12,000 (Freshman: $5,500; Sophomore: $6,500). **Cumulative federal borrowing after this award:** $19,500. **Aggregate limit for a dependent undergraduate:** $31,000, of which no more than $23,000 may be subsidized.

Part 5: Federal Direct Parent PLUS Loan

The Parent PLUS Loan is borrowed by, and is the legal responsibility of, **the parent**, not the student.

- **Parent Borrower:** Maria L. Ellison
- **Amount Requested:** $17,000
- **Fixed Interest Rate (sample):** 8.94%
- **Origination Fee:** 4.228% ($718.76)
- **Net Amount After Fee:** $16,281.24
- **Credit Check:** Required. If denied, the student may become eligible for additional Unsubsidized Loan funds.

- **Repayment Begins:** Within 60 days after the final disbursement (parent may request deferment while the student is enrolled at least half-time and for six months after).
- **Interest:** Accrues from the date of first disbursement.

Part 6: Private Student Loan and Truth in Lending Disclosure

This loan is offered by a private lender and is **not** a federal loan. It does not carry federal protections such as income-driven repayment or federal loan forgiveness programs.

Lender: Summit Ridge Education Finance, LLC **Borrower:** Jordan A. Ellison **Cosigner:** Maria L. Ellison **Loan Type:** Fixed-rate, in-school deferment

Disclosure Item	Amount
Amount Financed	$7,500.00
Annual Percentage Rate (APR)	8.24% fixed
Origination Fee	$0.00
Repayment Term	10 years (120 monthly payments)
Estimated Monthly Payment	$91.95
Finance Charge (total interest cost)	$3,534.00
Total of Payments	$11,034.00
Late Fee	Lesser of 5% of the past-due payment or $15
Prepayment Penalty	None

Repayment structure: Payments are deferred while the student is enrolled at least half-time and for six months afterward. Interest accrues during deferment and is capitalized when repayment starts. The amounts above assume repayment begins immediately; actual payments will be higher because of capitalized interest.

Cosigner release: The cosigner may apply for release after **36 consecutive on-time principal and interest payments**, subject to a credit review of the primary borrower.

Default: The loan may be placed in default after 120 days of nonpayment. The cosigner is fully responsible for repayment.

Part 7: Disbursement Schedule

Funds are split evenly between terms and sent directly to Hartwell University to be applied to tuition, fees, and housing. Any credit balance is refunded to the student (or the parent, for PLUS funds, upon request) within 14 days.

Loan	Fall 2027 (Aug 25, 2027) Net	Spring 2028 (Jan 12, 2028) Net
Direct Subsidized	$2,720.93	$2,720.93
Direct Unsubsidized	$989.43	$989.43
Parent PLUS	$8,140.62	$8,140.62
Private Loan (Summit Ridge)	$3,750.00	$3,750.00
Total Loan Funds per Term	**$15,600.98**	**$15,600.98**

Total net loan funds for the year: **$31,201.96** (gross loans of $32,000.00 minus $798.04 in federal origination fees).

Part 8: Estimated Repayment Summary

Estimates assume a 10-year Standard Repayment Plan, begin after the grace period, and **do not include interest accrued or capitalized in school**. This is a projection only.

Loan	Borrower	Principal	Rate	Est. Monthly Payment	Est. Total Paid
Direct Loans (2027–28 only)	Jordan	$7,500	6.39%	$84.75	$10,170.00
Parent PLUS	Maria	$17,000	8.94%	$214.80	$25,776.00
Private Loan	Jordan (cosigner Maria)	$7,500	8.24%	$91.95	$11,034.00

Expected repayment start (student loans): November 2029, assuming May 2029 graduation and a six-month grace period.

Part 9: Important Terms and Conditions

Satisfactory Academic Progress (SAP). To keep aid, you must maintain a cumulative GPA of at least 2.0 and complete at least 67% of attempted credits. Failure may result in loss of eligibility for federal, state, and institutional aid.

Enrollment changes. Dropping below full-time may reduce or cancel scholarships and grants, and may trigger a return of funds to the lender or the government.

Deferment. A period when payments may be postponed (for example, in-school, military service, or economic hardship). Interest still accrues on unsubsidized loans, PLUS loans, and private loans.

Forbearance. A temporary pause or reduction of payments granted at the servicer's discretion. Interest always accrues and may be capitalized.

Capitalization. Unpaid interest added to principal. This increases both your balance and the interest charged going forward.

Delinquency and default. A federal loan is delinquent the day after a missed payment and goes into default after **270 days** of nonpayment. Default can lead to wage garnishment, tax refund offset, and credit damage.

Repayment options (federal loans). Standard (10 years), Graduated, Extended (up to 25 years, if balance exceeds $30,000), and income-driven repayment plans for eligible loans. Parent PLUS loans have limited plan options unless consolidated.

Consolidation. Federal Direct Loans may be combined into a single Direct Consolidation Loan. The new rate is the weighted average of the old rates, rounded up to the nearest one-eighth of one percent. Private loans cannot be included in a federal consolidation.

Dependent verification. Hartwell may select your file for verification. Missing documents can delay disbursement.

Part 10: Borrower Rights and Responsibilities

You have the right to:

- Receive a copy of your loan agreement and disclosures before signing
- Know the interest rate, fees, total amount to repay, and repayment start date
- Prepay any loan at any time without penalty
- Request a deferment or forbearance if you qualify
- Receive notice before your loan is transferred to a new servicer

You are responsible for:

- Repaying your loans even if you do not complete your program or find employment
- Notifying your servicer within 10 days of any change in name, address, phone, or enrollment status
- Completing entrance and exit counseling
- Making payments on time, even if you do not receive a bill
- Using loan funds only for educational expenses

Part 11: Required Actions and Deadlines

Action	Who	Deadline
Accept, decline, or reduce loans in the student portal	Jordan	May 1, 2027
Complete Master Promissory Note (federal)	Jordan	June 1, 2027
Complete Parent PLUS application and MPN	Maria	June 1, 2027
Apply for Summit Ridge private loan with cosigner	Jordan and Maria	June 15, 2027
Submit work-study I-9 documents (if accepting)	Jordan	August 15, 2027
Pay remaining balance (if any)	Jordan or Maria	August 20, 2027

Part 12: Acknowledgment and Signatures

By signing below, I confirm that I have read and understand this award letter, loan terms, and estimated repayment information. I understand that loans must be repaid with interest, and that amounts shown are estimates subject to final lender approval.

Student Signature: _____ **Date:** _____ Jordan A. Ellison

Parent/Cosigner Signature: _____ **Date:** _____ Maria L. Ellison

Financial Aid Officer: _____ **Date:** March 14, 2027 Priya Raman, Director of Student Financial Services

Sample figures for testing only. Rates, fees, and limits do not necessarily reflect current federal values.